In the meantime, Chad invested $25,000 in this venture and received a check for $3,000 for the first month's profits. The next month he was offered the option of reinvesting the profits, which he did over my objections. He never received the third month's distribution because the state securities commissioner impounded all the "trader's" assets, pending an investigation for securities fraud. It seems that he had not been trading stocks at all. He had simply been raising money from gullible people—a *lot* of them.

The system was pretty simple. He paid dividends by raising more money each month. Once someone had received a month or so of distributions he was "allowed" to reinvest his profits, which most did. As long as the circle of investors kept expanding he had no problems making the payments and pocketing a huge profit. His only overhead was a computer to keep up with the payments.

What blew the whistle was an investor who tried to talk his brother-in-law into investing too. Only his brother-in-law was a security investigator who knew a scam when he saw one. Before he folded, this shyster had raised over $20 million and had a list of clients that read like who's who in entertainment, sports, and business.

As the proverb says, "A faithful man will abound with blessings, but he who makes haste to be rich will not go unpunished" (Proverbs 28:20).

The get-rich-quick schemes always look the best initially. If they didn't, nobody would buy them. So be cautious, and above all, be patient. "Rest in the Lord and wait patiently for Him" (Psalm 37:7). Before you do anything, talk about it, pray about it, and then give God time to give you an answer.

28 KEY #6: SEEK DIVERSITY

There's an old adage that says, "Don't put all your eggs in one basket." That certainly applies to your investment strategy. Let's assume, for example's sake, that you have a small